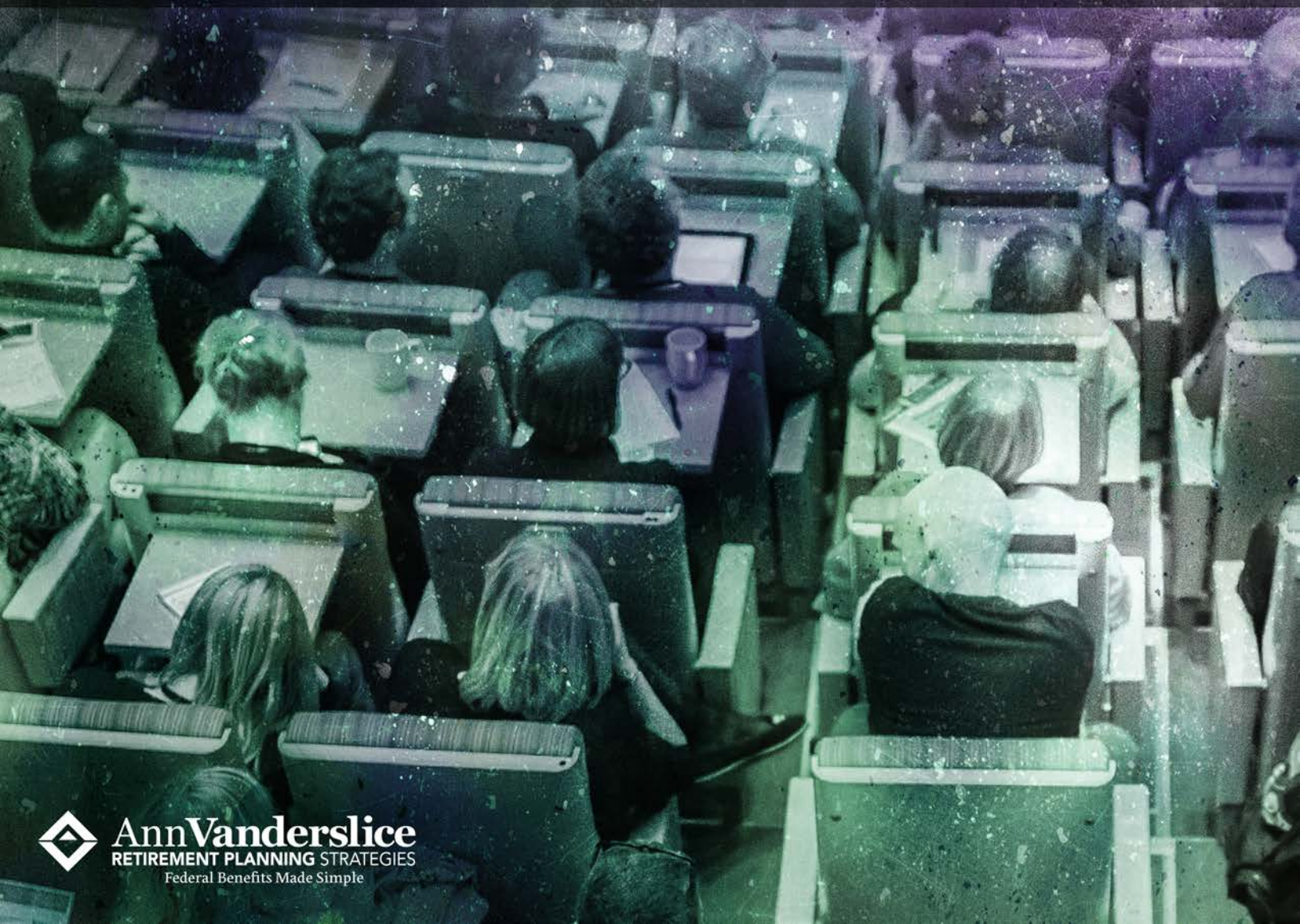
FEDERAL BENEFITS

— made —

Simple



Ann Vanderslice
RETIREMENT PLANNING STRATEGIES
Federal Benefits Made Simple

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Retirement Planning Strategies,

and your federal agency are not affiliated entities.

Ann Vanderslice has been hired as an instructor to educate participants on planning for retirement. This program is for educational purposes only and no financial services or products will be presented.

You will not be asked to share your personal financial information, nor will anyone contact you after this class for the purpose of selling financial products or services. Certain hypothetical examples will be presented today and are not in tended to pertain specifically to anyone in attendance.

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OUR TEAM

Ann Vanderslice has been working with federal employees to help them achieve retirement success since 2002. She is considered one of the foremost authorities on federal benefits in the country. She is a nationally recognized author and speaker on topics of interest to federal employees. In 2015, she was named one of the top 5 retirement advisors in the country by "Retirement Advisor" magazine.

She has delivered training, keynotes and seminars for over 15,000 federal employees in more than thirty federal agencies and associations, including the Colorado Federal Executive Board, the Honolulu-Pacific Federal Executive Board and the Federal Employed Women's (FEW) National Training Program.

Ann has also been named one of Denver's Five Star Best in Client Satisfaction Wealth Managers by "5280" and "Colorado Biz" magazines every year since 2009. Only 7% of wealth managers in the Denver area receive this award.

Ann currently writes for several federal publications including Fedsmith and The FederalTimes and has appeared as an expert guest on Fed Radio. Her book, "Fedtelligence 2.0 - The Ultimate Guide to Maximizing Your Federal Benefits," has been updated with new information on phased-in retirement, the Roth TSP, and special provisions retirement.

Licensed to do business in more than half of the 50 states, Ann and her team offer full-service financial planning for all aspects of a federal employee's career. From college planning to estate planning, we have the resources to assist in combining your federal benefits with a comprehensive retirement plan. Whether you are 15 years or a few months from retirement, it's never too early or too late to create your plan!!

WHAT WE *WILL COVER* TODAY

- Getting and Keeping Important Documents Together
- Important FERS Numbers
- When Can You Retire - Eligibility for Retirement
- Early Outs, Buyouts, and RIFs
- How is Your Pension Calculated?
- Survivor Benefits
- FERS Supplement
- Social Security
- Your Thrift Savings Plan (TSP) Options While Working
- Allocating Your TSP
- How TSP Impacts Retirement
- Taking Withdrawals From TSP
- How to Choose the Best Federal Health Plan for You & Your Family
- Flexible Spending Account
- Dental and Vision Coverage
- Federal Employees Group Life Insurance
- Federal Long-term Care Insurance Program - FLTCIP 2.0
- Taxes

IMPORTANT
DOCUMENTS

- Certified Copy of Birth Certificate
- DD214 – Certifies Military Service
- SF-50's – Official Personnel File
- Social Security Statement
- Marriage Certificate (if married)
- Divorce Decree (if divorced)
- Receipts for any Deposits/Redeposits made

Beneficiary Forms

- Last Paycheck – SF 1152
- FEGLI – SF 2823
- (FERS) Retirement Contributions - SF 3102
- Thrift Savings Plan – TSP 3

Most Common Reasons for
Retirement Processing Delays

- The submission by the agency is incomplete and is missing key data needed for calculating interim payments. According to OPM, 23 percent of all claims received are missing one or more records.
- Part-time service is involved.
- No survivor election is made. (Remember- even if you are unmarried at the time of retirement, don't leave this section of the retirement application blank.)
- As of _____ 2018, there were _____ outstanding applications.
- Hiring more retirement specialists hasn't had any impact on the backlog. FERS applications for those eligible for the FERS Supplement take nearly 3 times as long to process as a CSRS application. With the majority of those retiring now under the FERS system, a gain in the backlog without automation is unlikely.

Number of Federal Retirements

- 2008 : 56,410
- 2009 : 43,650
- 2010 : 84,430
- 2011 : 104,810
- 2012 : 112,000
- 2013 : 116,000
- 2014 : 101,568
- 2015 : 97,032
- 2016: 93,713
- 2017: 96,505

7 Birthday Ages That Matter Most

in Retirement Planning

Ages:

---

50 = You are eligible to make "catch-up" contributions to TSP, 401(k)'s, and IRA's
-If you are covered under Special Provisions, you may access TSP without 10% excise penalty if you retire.

55 = FEGLI premiums for Options A and B increase significantly.
-Access to TSP without 10% excise penalty if you separate or retire.

59 1/2 = Access to TSP Funds for one-time withdrawal if still working. Penalty-free access to IRA's, 401(k)'s, etc.

62 = Earliest eligibility for Social Security benefits

65 = Eligible for Medicare

70 = Latest eligibility for Social Security benefits

70 1/2 = Must begin taking at least minimum withdrawals from tax-qualified accounts (TSP, IRA's)

Magic Numbers

30 years: *needed to qualify for unreduced annuity if younger than age 60*
5 years: *least amount of years you can work and qualify for an annuity.*

Savings Amount Needed At

Retirement

$_____

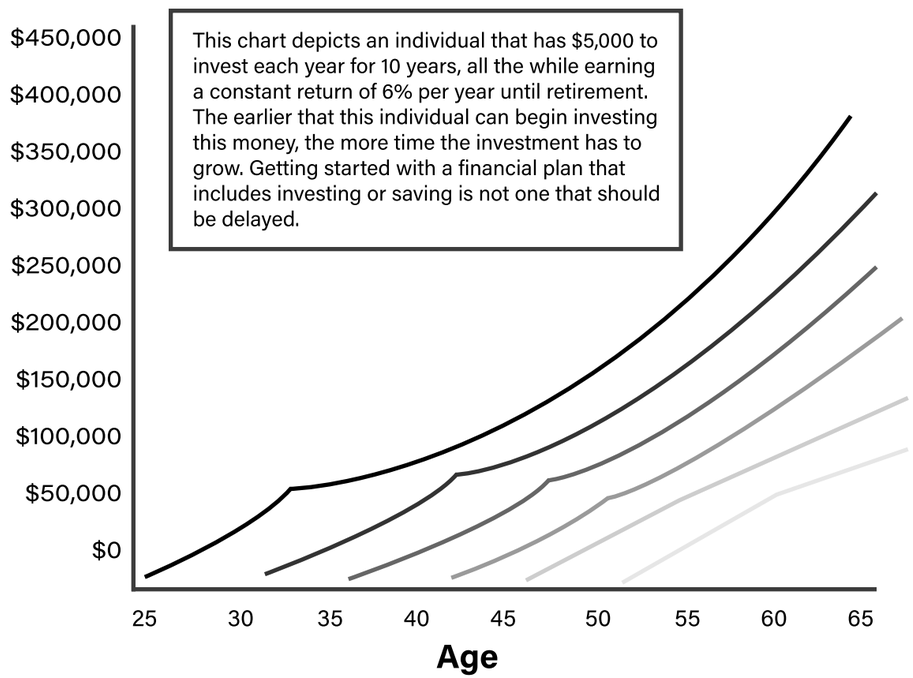
RULE OF THUMB

10% **Amount you need to save each year** *to have a comfortable supplement* to your federal pension at retirement.

Why it Pays to Begin
Investing Early

Why it Pays to Begin Investing Early

The Power of Compounding Returns



On Compound Interest

Compound interest is the eighth wonder of the world. He who understands it, earns it … he who doesn't … pays it.

~ Albert Einstein

FERS and
FERS Transferee

- FERS

Employees hired after 1/1/84 who did not have at least 5 years of service at 1/1/87.

Contribute_____% of pay to:

_____% to Social Security

_____% to FERS

- FERS - RAE - Hybrid

Employees hired after 1/1/13 who did not have at least 5 years of service when hired.

Contribute_____% of pay to:

_____% to Social Security

_____% to FERS

- FERS - FRAE - Hybrid

Employees hired after 1/1/14 who did not have at least 5 years of service when hired.

Contribute _____% of pay to:

_____% to Social Security

_____% to FERS

Special Provisions

- FERS

Employees hired after 1/1/84 who did not have at least 5 years of service at 1/1/87.

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_____% to FERS

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Employees hired after 1/1/14 who did not have at least 5 years of service when hired.

Contribute _____% of pay to:

_____% to Social Security

_____% to FERS

FERS and

FERS Transferee

- FERS Transferee

Employees hired before 1/1/84 who had at least 5 years of CSRS employment who opted to go to FERS in 1987, 1988, or 1998.

OR

- Employees who left with at least 5 years of service under CSRS or CSRS Offset and chose to go to FERS upon return to Federal employment.
- Social Security benefits may be reduced for portion of annuity based on CSRS years.

FERS

Retirement Eligibility

Combination of Age and Years of Service

	Age	***Years of Service***
-	MRA*	30
-	60	20
-	62	5

FERS - Special Provisions

Retirement Eligibility

Combination of Age and Years of Service

	Age	***Years of Service***
-	50	20
-	Any age	25
-	56	Mandatory retirement - air traffic controller
-	57	Mandatory retirement - law enforcement/firefighter

MRA* - Minimum Retirement Age

FERS

Minimum Retirement Age

If you were born	Your FERS MRA is:
before 1948	55
in 1948	55 and 2 months
in 1949	55 and 4 months
in 1950	55 and 6 months
in 1951	55 and 8 months
in 1952	55 and 10 months
in 1953 – 1964	56
in 1965	56 and 2 months
in 1966	56 and 4 months
in 1967	56 and 6 months
in 1968	56 and 8 months
in 1969	56 and 10 months

Deferred/Postponed

Retirement

Age	Years of Service
MRA	at least 10 years

If you retire at the MRA with at least 10 but less than 30 years of service, your benefit will be reduced at the rate of 5/12ths of 1% for each month you are under age 62 (5% for each year).

NOTES

Deferred/Postponed

Retirement

- If you do not want to take the penalty associated with an early out – you may defer your retirement to age 62 and then take the unreduced amount.

- You must "suspend" your health benefits if you defer in order to pick them back up when you begin receiving retirement benefits.

- If you have at least 20 years of creditable service, you may defer your retirement to age 60 and take the unreduced amount.

- If you have at least 30 years of creditable service but do not have MRA, you may defer your retirement until you reach MRA and receive an unreduced benefit. (You cannot pick up FEHB!)

- If you have at least 10 years of creditable service but less than 30 years and do not have MRA, you may defer your retirement until you reach MRA, but your benefit will be reduced by 5/12th of 1% for each year you are under 62 when you begin benefits. You can avoid this penalty by waiting until age 60 or 62. (You cannot pick up FEHB!)

- Your unused sick leave will not be included in the calculation of your deferred/postponed benefits.

- The FERS supplement is not paid on deferred or postponed retirements.

Agency Options

- Attrition
- Early Out (VERA)
- Buy Out (VSIP)
- Reduction in Force

Voluntary Early Reduction

Retirement "VERA"

Age	Years of Service
50	20
Any age	25

Under a VERA, agencies that are undergoing substantial restructuring, reduction in force, reshaping, downsizing, or reorganization have the ability to temporarily lower the age and service requirements to increase the number of employees who are eligible to retire.

Impact of VERA on

Pension Calculation

- FERS

Calculation of FERS pension is based on years and months of creditable service at retirement (including unused sick leave) and FERS employee's High 3.

There is no annuity reduction for FERS employees who are eligible and retire early.

When a FERS retiree under VERA reaches
their Minimum Retirement Age "MRA,"
they are eligible for the FERS Supplement.

Voluntary Separation

Incentive Payment

- VSIP aka Buy Out

The VSIP allows agencies that are undergoing downsizing or restructuring to offer employees lump-sum payments up to $25,000 as an incentive to voluntarily separate.

- The VSIP payable amount is calculated on the lesser of:

An amount equal to the severance pay the employee would be entitled to receive, without adjustment for any previous payment made; or an amount determined by the agency head, not to exceed $25,000.

NOTES

Best Dates to Retire

- The last day of the month

- End of a pay period

Accrue sick and annual leave for that pay period.

- Last day of the year

Rollover maximum annual leave.
Receive COLA on payout of annual leave.
Pay taxes in new year.

NOTES

Components to Calculate

Federal Annuity

1. Years of Service Based on Creditable Service Using Retirement Service Computation Date
2. % Formula Based on Years of Service
3. High 3 Average Salary

Retirement Creditable Service

Based on time between appointment and separation where deductions are withheld. It includes:

- Leave without pay (up to six months/calendar year)
- Part-time service - Full credit for eligibility – prorated for annuity computation
- Intermittent days worked (WAE 260-day year)
- Military service/Deposits/Re-deposits (SF 2803)
- Temporary, seasonal, co-op time if deposit paid
- Previous service which had retirement contributions refunded if re-deposit paid

FERS - Ways to Increase Creditable Service

Buying Back Military Time

Employee with active duty military service may:

Make Deposit of 3% of Basic Pay + Interest = Credit for eligibility and annuity

Employee Must Waive Active Military Retirement Pay
Do Not Make Deposit = No credit for eligibility or annuity

Deposits for Temporary/Seasonal Time

Service Prior to 1-1-1989:

- Deposit Made = 100% for eligibility and annuity computation
- Deposit Not Made = NO credit for eligibility or annuity computation

Service After 1-1-1989:

- NO credit = Deposit is not allowed

If you have federal service prior to January 1, 1989 where retirement contributions were not withheld, you may apply to deposit those contributions plus interest to increase your pension.

Re-Deposits

If you left federal service and withdrew your retirement contributions, if you return to federal service, you may apply to re-deposit those contributions plus interest to increase your creditable service and your pension.

Part-Time Service

Any part-time service counts 100% toward eligibility and is prorated for annuity calculation.

Annual Leave

Employee Type	*Less than 3 years of service**	*3 years but less than 15 years of service**	*15 or more years of service**
Full-time employees	*1/2 day (4 hours) for each pay period*	*3/4 day (6 hours) for each pay period, except 1 1/4 day (10 hours) in last pay period*	*1 day (8 hours) for each pay period*
*Part-time employees***	*1 hour of annual leave for each 20 hours in a pay status*	*1 hour of annual leave for each 13 hours in a pay status*	*1 hour of annual leave for each 10 hours in a pay status*

- Can carryover up to 240 hours of unused leave per year
- Paid out as lump sum for any unused hours at retirement

Sick Leave

Accrue 4 hours per pay period for sick leave.

FERS can include 100% of their sick leave in their creditable service for annuity calculation purposes.

Sick Leave Chart

# of Days	0 Months +	2 Months +	3 Months +	4 Months +	5 Months +	6 Months +	7 Months +	8 Months +	9 Months +	10 Months +	11 Months +
0	0	174	522	696	870	1044	1217	1391	1565	1739	1913
1	6	180	528	701	875	1049	1223	1571	1571	1745	1919
2	12	186	533	707	881	1055	1229	1577	1577	1751	1925
3	17	191	539	713	887	1061	1235	1583	1583	1757	1930
4	23	197	545	719	893	1067	1241	1588	1588	1762	1936
5	29	203	551	725	899	1072	1246	1594	1594	1768	1942
6	35	209	557	730	904	1078	1252	1600	1600	1774	1948
7	41	214	562	736	910	1084	1258	1606	1606	1780	1954
8	46	220	568	742	916	1090	1264	1612	1612	1786	1959
9	52	226	574	748	922	1096	1270	1617	1617	1791	1965
10	58	232	580	754	928	1101	1275	1623	1623	1797	1971
11	64	238	586	759	933	1107	1281	1629	1629	1803	1977
12	70	243	591	765	939	1113	1287	1635	1635	1809	1983
13	75	249	597	771	945	1119	1293	1641	1641	1815	1988
14	1	255	603	777	951	1125	1299	1646	1646	1820	1994
15	87	261	609	783	957	1131	1304	1652	1652	1826	2000
16	93	267	615	788	962	1136	1410	1658	1658	1832	2006
17	99	272	620	794	968	1142	1416	1664	1664	1838	2012
18	104	278	626	800	974	1148	1322	1670	1670	1844	2017
19	110	284	632	806	980	1154	1328	1675	1675	1849	2023
20	116	290	638	812	986	1159	1333	1681	1681	1855	2029
21	122	296	643	817	991	1165	1339	167	1687	1861	2035
22	128	301	649	823	997	1171	1345	1693	1693	1867	2041
23	133	307	655	829	1003	1177	1351	1699	1699	1873	2046
24	139	313	661	835	1009	1183	1357	1704	1704	1878	2052
25	145	319	667	841	1015	1189	1362	1710	1710	1884	2058
26	151	325	672	846	1020	1194	1368	1716	1715	1890	2064
27	157	330	678	852	1026	1200	1374	1722	1722	1896	2070
28	162	336	684	858	1032	1206	1380	1728	1728	1902	2075
29	168	342	690	864	1038	1212	1386	1733	1733	1907	2081

Creditable Service

Calculation

	Year	Month	Day
Planned Retirement Date	____	_____	____
Retirement SCD	____	_____	____
Creditable Service	____	_____	____
Unused Sick Leave	____	_____	____
Total Creditable Service	____	_____	____

Calculating Your *FERS Annuity*

1% X Years of Service X High 3 Average = Annual Annuity
At age 62+ with at least 20 years of service =
1.1% X Years of Service X High 3 Average = Annual Annuity

Example:

30 years at age 56 = 30% (1% for each year or portion thereof)
If retiree is 62+ with 30 years of service = 33%
(1.1% for each year or portion thereof)

NOTES

Special Provisions

Calculating Your
FERS Annuity

1.7% X 20 Years of Service + 1% X Years of Service over 20 X High 3 Average = Annual Annuity

Example of Special Provisions annuity calculation:

LEO with 30 years of service at age 57 would receive 44% (20 X 1.7% = 34% + 10 X 1% = 10%) of their High 3 (e.g., $100,000).

$100,000 X .44 = $44,000/year gross before taxes, insurance and cost of survivor benefits

NOTES

_____

_____

_____

_____

_____

_____

High 3
Average

Average of your base + locality pay over any 3 consecutive years of creditable service.

Does NOT include:

- Bonuses
- Military Pay
- Holiday Pay
- Overtime
- Cash Awards
- Travel Pay

High 3 Calculation

Year	Salary
2016	_____
2017	_____
2018	_____

Add last three years together and divide by 3 = HIGH 3

Pension Calculation

High-3 Average _____

Creditable Service % _____

= Annual Annuity _____

/ 12 = Monthly Annuity _____

Present Value _____

FERS

Survivor Benefits

Two options for survivor benefits - 25% or 50% which are available to:

- *Current spouse*
- *Former spouse*
- *Insurable interest*
- *Minor children*

Cost is 5% of the gross pension for the 25% survivor benefit and 10% of the gross pension for the 50% survivor benefit.

MUST keep at least minimal survivor benefit to allow spouse to continue health benefits if retiree passes away.

Survivor benefits are in place for current employees:

With at least 18 months of creditable service – surviving spouse receives:

- Lump sum benefit of $_____(adjusted annually for inflation) PLUS
- Half of the greater of your average high-3 or your current salary

Additionally, with at least 10 years of creditable service:

- 50% of your annuity calculated as of the date of your death
- Lump sum
- Social Security and other survivor benefits are not affected by the lump sum payments.

Phased-in

Retirement

- In 2012, Congress passed phased-in retirement to address large percentage of federal employees eligible to retire.
- Employees eligible to retire can apply for phased-in retirement and if agency agrees - they may participate.
- Employee works part-time and receives proportionate parts of their salary and pension.
- Currently designed to be 20-hour week
- Under FERS must have MRA with 30 YOS or age 60 with 20 YOS (excludes age 62 with 5 YOS).
- Phased-in retirees are considered employees and contribute to retirement, Social Security and Thrift Savings Plan and participate in premium conversion for federal health insurance.

NOTES

Cost of Living

Prior to retirement COLAs based on amount approved in legislation by Congress each year. After retirement COLAS based on consumer price index for Urban, Clerical Wages Earners, - CPI-W.

% Increase of CPI as follows:

0%-2% - Actual CPI % Increase

2%-3% - 2%

Over 3% - CPI increase less 1%

Effective December 1/appears on January 1 annuity payment
Prorated if you retire in middle of year **Do NOT receive COLA until age 62**
Special Provisions recieve COLA's immediately upon retirement.

2009 COLA = 4.8%	*2010 COLA = 0%*
2011 COLA = 0%	*2012 COLA = 2.6%*
2013 COLA = 1.7%	*2014 COLA = 1.5%*
2015 COLA = 1.7%	*2016 COLA = 0%*
2017 COLA = .3%	*2018 COLA= 2%*

COLA since inception of FERS is 1.93% (excluding 1984-1987)

FERS Supplement

and Social Security

3 Components of FERS Retirement

- FERS annuity
- Social Security
- TSP

Because Social Security is not available until age 62, a Supplement is available for those who retire at their MRA with 30 years or age 60 with 20 years of service.

Supplement is calculated based on:

Years of FERS Service*		Social Security Benefit
40	**X**	**at age 62**

Subject to Social Security earnings test for wages -

$_____

** Military buy-back time will be deducted from equation*

Special Provisions

FERS Supplement

3 Components of FERS Retirement

- FERS annuity
- Social Security
- TSP

Because Social Security is not available until age 62, a Supplement is available for those who retire at their MRA with 30 years or age 60 with 20 years of service.

Supplement is calculated based on:

Years of FERS Service*		Social Security Benefit
40	X	at age 62

Subject to Social Security earnings test for wages - after reaching MRA

$_____

** Military buy-back time will be deducted from equation*

FERS

Supplement

- This payment is made to you by OPM, not by the Social Security Adm.
- Receipt of this payment has no effect on your future Social Security benefits.
- You do not apply for this benefit. It is paid to you automatically by OPM if you are eligible.
- Once computed, the amount of the payment always stay the same. It is **never adjusted for COLAs** or to account for additional earnings or service.

Social Security Benefits

Become eligible by earning 40 "credits"

Receive full benefits based on year you were born

Contribute _____% of earnings up to $_____

Birth Year	Full Benefits	Birth Year	Full Benefits
1937	65	1943 - 1954	66
1938	65 + 2 mos	1955	66 + 2 mos
1939	65 + 4 mos	1956	66 + 4 mos
1940	65 + 6 mos	1957	66 + 6 mos
1941	65 + 8 mos	1958	66 + 8 mos
1942	65 + 10 mos	1959	66 + 10 mos
		1960 +	67

Social Security
Benefits

While you are living your:

Spouse: 50% of yours or 100% of their own (whichever is higher)
Child (up to age 18): 50%
Former spouse:

- Married at least 10 years
- Age 62

If you draw benefits prior to reaching your full retirement age, you experience a reduced benefit but are also subject to earnings limit of _____ (same as FERS Supplement).

Highest benefit payable at full retirement age is $2,687.
The year you turn your full retirement age, you may earn up to $44,880 prior to your birthday month without an earnings penalty.

Longevity

This is KEY!

- According to the **2000 Basic Mortality Table**, a 65-year old couple has a 50% chance that at least one of them will live to age 92.

- Single individuals have a slightly lower life expectancy

Social Security
Optimizing Benefits

Case Study

Mary is 60 years old, never married
(or divorced, married for less than 10 years)

FRA benefits: $1,800 / month

Originally assumed she should start taking benefits at age 62.
-How can she potentially optimize her Social Security benefits?

Results

Assuming a life expectancy of 90 on Mary:

Beginning benefits at age 62:
Cumulative benefits: $605,029

Beginning benefits at age 70:
Cumulative benefits: $815,432

A potential difference of $210,403 over her lifetime!!!

This hypothetical example is for illustrative purposes only, and should not be deemed a representation of past or future results, and is no guarantee of return or future performance.

NOTES

Social Security
Benefits

Your survivors may be eligible for your benefits:

- Spouse you've been married to for at least 9 months who is age 60 or older

- Child under age 18 (19 if still in school) or any age if disabled before age 18

- Former spouse you were married to for at least 10 years

What Are People Really Doing?

- In 2013, of those turning age 62, 40% of women and 36% of men began drawing their Social Security.

- This is down from 1996 when 63% of women and 56% of men began drawing at age 62.

- In 1985, the numbers were slightly higher with 64% of women and 52% of men drawing at age 62.

***By delaying taking Social Security until your full retirement age,** you can increase your benefits by 20% - 30%.
You'll get an additional 8% for each year you wait up to age 70.

This hypothetical example is for illustrative purposes only, and should not be deemed a representation of past or future results, and is no guarantee of return or future performance.

A Short History
of the TSP

- Implemented in April 1987

- S and I Funds added in May 2001

- Everyone could participate up to IRS limits in 2005

- Largest defined contribution plan in the US with $_____* Billion in assets (of which $____billion is Roth TSP), ~5 million participants (___K use Roth) with ____% of FERS employees participating.

NOTES

How Does Your TSP

Balance Stack Up?

The average employee in the FERS system has a balance of $_____.

The average Roth account balance for these employees is $_____.

Advantages of TSP

- Automatic payroll deductions
- A diversified choice of investment options
- A choice of tax treatments for your contributions:
- Low Fees
- Traditional (pre-tax) contributions and tax-deferred investment earnings, and Roth (after-tax) contributions with tax-free earnings at retirement if you satisfy the IRS requirements.

The TSP website has a contribution comparison calculator for traditional and Roth contributions:

www.tsp.gov/planningtools/contributioncomparison/contributioncomparison.shtml

www.tsp.gov/PDF/formspubs/tsplf30.pdf contains more information about the TSP Roth

Interesting TSP Stats

_____ TSP "millionaires" - 1 with $6.2 million!

Account Balance	Number of Participants	Average Years of Participation
Under $50,000	2,874,010	6.83
$50,000 - $249,999	1,458,820	16.32
$250,000 - $499,999	453,353	21.83
$500,000 - $749,999	148,271	24.78
$750,000 - $999,999	54,735	27.17
$1,000,000 and over	23,962	28.87
	5,013,151	11.8

As of 12/31/2017 from www.fedsmith.com

NOTES

What's Happening
With TSP

Four provisions in Tobacco Act of 2009 affected TSP:

- Creation of Roth TSP - May 7, 2012
- Automatic enrollment for new federal employees
- New survivorship options

Option to create mutual fund choices for investment - TSP opened a "mutual fund window" to determine whether it makes sense to offer any mutual fund options.

TSP Modernization Act of 2017:

- Allows multiple age-based, in-service withdrawals.
- Allows retired participants who have made age-based withdrawals to make multiple additional withdrawals.
- Allows monthly payments to be stopped, changed, or switched to annuity payments.
- Roth TSP does NOT have to come out proportionately.

The law gives the FRTIB up to 2 years
to make the regulatory and operational changes
necessary to implement these changes.

Comparison of
Roth IRA and Roth TSP

- Anyone that is eligible to contribute to TSP is also eligible to contribute to Roth TSP.
- No income limitations for contributing to Roth TSP.
- Combined total of Roth TSP and Traditional TSP cannot exceed $18,500 and catch-up of $6,000, if age 50 or above.
- You can contribute the maximum to Roth TSP as well as the maximum to an individual Roth IRA; however, there are income restrictions for a Roth IRA.
- Interfund transfers, contribution elections, withdrawals, and loans will apply to both TSP and Roth TSP proportionately.
- You cannot currently convert TSP funds into Roth TSP - it is being considered.
- You can transfer a Roth 401(k), Roth 403(b) and Roth 457(b) into Roth TSP but NOT a Roth IRA.

NOTES

Comparison of
Roth IRA and Roth TSP

Similarities:

Contributions are made with after-tax dollars and can be withdrawn income tax-free if you are age 59 1/2 and follow the 5-year rule. Paying the tax in today's known tax environment may prove to be a valuable tool during retirement.

Differences:

You are not required to take a minimum distribution from a Roth IRA, but you are required to begin taking RMD's from the Roth TSP .

There are income restrictions to contribute to a Roth IRA; however, there are NO income restrictions to contribute to Roth TSP.

You can contribute significantly more to the Roth TSP than a Roth IRA.
Depending on your income and age, the maximum contribution level for the Roth TSP is $24,000 vs. $6,500 for a Roth IRA.

NOTES

Considerations Before Deciding
to Use the Roth TSP

Impact on your paycheck:

Today your net paycheck has taxes deferred when you contribute to TSP (which means less money is taken out of your paycheck for taxes). Taxes are paid up front on contributions to the Roth TSP (which means more money will come out of your paycheck for taxes)

2017/2018 Marginal Income Tax Rates

2017 Tax Brackets			2018 Tax Brackets		
Tax Rate	Taxable Income		Tax Rate	Taxable Income	
Rate	Individuals	Married Filing Jointly	Rate	Individuals	Married Filing Jointly
10%	Up to $9,325	Up to $18,650	10%	Up to $9,525	Up to $19,050
15%	$9,326 to $37,950	$18,651 to $75,900	12%	$9,526 to $38,700	$19,051 to $77,400
25%	$37,951 to $91,900	$75,901 to $153,100	22%	$38,701 to $82,500	$77,401 to $165,000
28%	$91,901 to $191,650	$153,101 to $233,350	24%	$82,501 to $157,500	$165,001 to $315,000
33%	$191,651 to $416,700	$233,351 to $416,700	32%	$157,501 to $200,000	$315,001 to $400,000
35%	$416,701 to $418,400	$416,701 to $470,700	35%	$200,001 to $500,000	$400,001 to $600,000
39.6%	$418,401 or more	$470,701 or more	37%	$500,001 or more	$600,001 or more

Considerations Before

Making a Decision

If you choose to contribute to the Roth TSP be aware:

- Increased income may affect the tax owed on income tax deductions, exemptions, and the ability to use tax credits (as well as Social Security income, Medicare Part B premiums, if applicable)

- Increased income may also affect your children's ability to receive grants and financial aid

- A Roth TSP can be rolled over to a Roth IRA and provide an income tax free legacy for your children and grandchildren.

TSP Options While You're Working

- Amount of Contributions
- Amount You Contribute to Roth TSP
- Allocation
- How Much You Borrow
- Withdrawals After Age 59 ½
- Beneficiaries

Thrift Savings Plan

2018 Contribution Limits:

$18,500 – under age 50

+$ 6,000 – catch-up contributions age 50 or better

$24,500 TOTAL 2018

5% Government Match for 5% Contribution

Accessing Your TSP Account

<u>You will need:</u>

13-digit Account Number Issued by TSP
PIN Number Issued by TSP

You may customize your User ID by logging on to TSP website:

- Can change both your sign-on and your password
- Can now reset your password over the phone or online!

Thrift Savings Plan

G Fund –

- Offers the opportunity to earn rates of interest similar to those of long-term Government securities but without any risk of loss of principal and very little volatility of earnings.
- The G Fund is invested in non-marketable, short-term U.S. Treasury securities with 1-4 day maturities specially issued to the TSP. Payment of principal and interest is guaranteed by the U.S. Government. Thus, there is no "credit risk."
- The interest rate resets monthly and is based on the weighted average yield of all outstanding Treasury notes and bonds with 4 or more years to maturity.
- Earnings consist entirely of interest income on the securities. Managed in-house by the FRTIB
- Interest on G Fund securities has, over time, outpaced inflation and 90-day T-bills

NOTES

Thrift Savings Plan

F Fund –

- Offers the opportunity to earn rates of return that exceed those of money market funds over the long term with relatively low risk.
- The objective of the F Fund is to match the performance of the Bloomberg Barclays Capital U.S. Aggregate Index, a broad index representing the U.S. bond market.
- The risk of nonpayment of interest or principal (credit risk) is relatively low because the fund includes only investment-grade securities and is broadly diversified. However, the F Fund has market risk (the risk that the value of underlying securities will decline) and prepayment risk (the risk that the security will be repaid before it matures).
- Earnings consist of interest income on the securities and gains (or losses) in the value of securities.

NOTES

Thrift Savings Plan

C Fund –

- Offers the opportunity to earn a potentially high investment return over the long term from a broadly diversified portfolio of stocks of large and medium-sized U.S. companies.
- The objective of the C Fund is to match the performance of the Standard and Poor's 500 (S&P 500) Index, a broad market index made up of stocks of 500 large to medium-sized U.S. companies.
- There is a risk of loss if the S&P 500 Index declines in response to changes in overall economic conditions (market risk).
- Earnings consist of gains (or losses) in the prices of stocks, and dividend income.

NOTES

Thrift Savings Plan

S Fund –

- Offers the opportunity to earn a potentially high investment return over the long term by investing in the stocks of small and medium-sized U.S. companies.
- The objective of the S Fund is to match the performance of the Dow Jones US Completion TSM Index, a broad market index made up of stocks of U.S. companies not included in the S&P 500 Index.
- There is a risk of loss if the Dow Jones US Completion TSM Index declines in response to changes in overall economic conditions (market risk).
- Earnings consist of gains (or losses) in the prices of stocks, and dividend income.

NOTES

Thrift Savings Plan

I Fund –

- Offers the opportunity to earn a potentially high investment return over the long term by investing in the stocks of companies in developed countries outside the United States.

- The objective of the I Fund is to match the performance of the Morgan Stanley Capital International EAFE (Europe, Australasia, Far East) Index.

-There is a risk of loss if the EAFE Index declines in response to changes in overall economic conditions (market risk) or in response to increases in the value of the U.S. dollar (currency risk).

- Earnings consist of gains (or losses) in the prices of stocks, currency changes relative to the U.S. dollar, and dividend income.

NOTES

Thrift Savings Plan
Lifecycle Funds

Lifecycle Funds - The L Funds provide you with a convenient way to diversify your account among the G, F, C, S, and I Funds, using professionally determined investment mixes that are tailored to different time horizons. Your "time horizon" is the date (after you leave Federal service) that you think you will need the money in your TSP account.

- The five L Funds were designed for the TSP by Mercer Investment Consulting, Inc. The asset allocations are based on Mercer's assumptions regarding future investment returns, inflation, economic growth, and interest rates.

- The L Funds are rebalanced to their target allocations each business day.

- When a fund reaches its horizon, it will roll into the L Income Fund, and a new fund will be added with a more distant time horizon.

- Putting your entire TSP account into one of the L Funds allows you to achieve the best expected return for the amount of expected risk that is appropriate for your time horizon.

NOTES

Allocating Your TSP

Allowed 2 Inter-fund Transfers per Month

Can Move Funds into the G Fund in Addition to the Inter-Fund Transfers

Considerations:

Assessing Your Tolerance for Risk
www.annvanderslice.com - Click on Riskalyze Button

Past Performance:

Look at historical returns on www.tsp.gov

Periodic Updates from TSP:

Go to www.tsp.gov and Click on "Get e-mail updates" icon to subscribe
And you'll receive automatic updates by e-mail from TSP.

Outside Resources:

Current Portfolio

This is your asset allocation, as captured on August 29, 2016.

DISTRIBUTION RATE *	EXPENSE RATIO **
0% (annual)	0% (annual)

RISK **67**

Account 1		Asset Allocation
TSP.I - Thrift Savings Plan I Fund	$25,000	25%
TSP.C - Thrift Savings Plan C Fund	$25,000	25%
TSP.S - Thrift Savings Plan S Fund	$25,000	25%
TSP.G - Thrift Savings Plan G Fund	$25,000	25%
Total	$100,000	100%

TSP

Fund Returns

For TSP fund returns use the link:

https://www.tsp.gov/investmentfunds/returns/returnSummary.shtml

OR

Daily TSP Fund Prices can be found on FedSmith:

https://www.tspdatacenter.com/daily_rates

Thrift Savings Plan - Fees

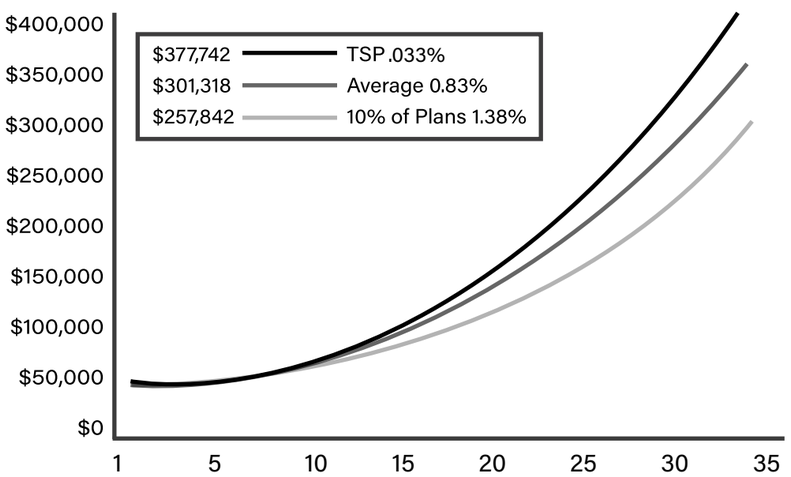
Administrative Expense Fees = .033%

- Use low-cost index funds
- Keep it simple – only five funds available
- Huge economies of scale – competitive procurement
- Use commingled trust funds instead of individual accounts:
    - *Only invest one amount per fund each day*
    - *Individual accounts are maintained in TSP*

Long-term Effects
of Lower Fees

Average Fee in Defined Contribution Plan - $8.30/$1,000
10% of Defined Contribution Plans Have Fees - $13.80/$1,000

Long-term effect of paying less to invest?
You save more - a lot more. Compare how $50,000 will grow over 30 years at various fee levels (and a 7% annual rate of return).



Know Your Investment Costs

- Do not focus solely on the rate of return of an investment
- Before investing, be sure you understand both the initial expenses and the annual expenses (fees) that will lower your investment returns over time
- If you use brokerage or a financial adviser, be sure you know the amount of broker commission or adviser's annual fee before you invest

Tips for Maximizing
Your TSP

Don't contribute too much, too soon. Consider "front-loading" in final year of work. Develop a strategy/plan for monitoring your funds:

- What's the overall state of the economy
- What are you willing to risk
- How does your current allocation fit your retirement plan
- If you have had a loss, what's your recovery plan

TSP Loans

Two Types of TSP Loans – May have one of each

General – 1-5 years to repay – No documentation
Residential – 1-15 years to repay – Documentation

Apply Online or Paper Application (TSP-20)

- Current Interest Rate – _____%

Amounts You Can Borrow:

- Must borrow at least $1,000
- 50% of current vested balance up to $50,000
- After Repaying Loan Must Wait 60 Days to Borrow Again

TSP Loans

TSP participants borrowed $4.4 Billion in 2017, in approximately 2 loans.

Risks –

- Loan payments may cause you to contribute less to your TSP
- If your TSP earns a higher return than the loan interest rate, there will be less in TSP
- Residential loans are not considered mortgages and interest is not deductible on tax return

NOTES

TSP

Withdrawal Options

- Once you've separated from Federal service or the uniformed services, you are required to make a withdrawal choice for your TSP account balance by April 1 of the year following the year you become age 70 1⁄2.

- You do not have to withdraw your TSP account all at once (though you have this choice). However, you must start to withdraw the IRS "Required Minimum Distribution" each year after reaching age 70 1/2.

You can choose to:

- Receive TSP monthly payments (you can change the dollar amount during the annual change period at the end of each calendar year);
- Elect a lifetime annuity
- Make a partial withdrawal of your TSP account
- Make a full withdrawal of your TSP account; OR any combination of the four options!

See www.tsp.gov/PDF/formspubs/tspbk02.pdf for more details

Thrift Savings Plan

Withdrawal Options

How Are Withdrawals Being Taken?

In 2016:

- $2.5 Billion was withdrawn in the form of cash payouts
- $5 Billion was transferred to other retirement accounts
- 178,000 participants are receiving monthly payments

Creating Income

From Your TSP

Two Chances to Take Distributions at Retirement -

Partial withdrawal using Form TSP-77 / Full withdrawal using Form TSP-70

OR

Create an immediate annuity through TSP (Met Life) Current Rate _____%

Tips for Distributing

Your TSP

Determine amount of income
you need from TSP
to compliment your federal pension and Social Security.

Develop a strategy/plan for creating required income while allowing flexibility and control.

- Use the TSP-77, not the TSP-70, first
- Even if you are going to draw monthly income from TSP, consider a partial withdrawal to an IRA to provide liquidity
- Consider using your TSP loan option to create another withdrawal opportunity at retirement
- If you have both traditional and Roth balances in your TSP, manage your withdrawals to avoid proportionate distribution rule

Proportionate

Distribution Rule

Traditional TSP	Roth TSP
$80,000	$20,000

When you ask for $1,000/month for income, $800 will come from traditional TSP and be taxable, and $200 will come from Roth TSP and will not be taxable.

However, you may want to preserve your Roth TSP since it's growing tax free AND there is a penalty for withdrawals before 59 1/2. The only alternative is to separate the Roth TSP from the traditional TSP.

- Consider setting up a private sector IRA and a private sector Roth IRA.

- Transfer all of your TSP EXCEPT $500 to these accounts. Your TSP account remains open.

- As long as the TSP is open, you may transfer the traditional IRA funds back to the TSP. When you draw monthly income now ~99% is from the traditional TSP (and taxable).

- The Roth IRA is protected from having to take withdrawals, including Required Minimum Distributions at 70 1/2.

Investing Outside

the TSP

Three characteristics *of* investments:

- Liquidity
- Safety
- Growth

For any investment - choose a combination of two of the three characteristics. Common investment avenues outside the TSP are:

- Banks (liquidity and safety)

- Stock Market (Broker Dealers, Investment Advisers, Mutual Funds) (liquidity and growth)

- Insurance Companies (growth and safety)

Beneficiary Designations

Form TSP-3 to Name Beneficiaries.

If no TSP-3 on file at death, TSP is distributed according to Order of Precedence.

- To widow or widower
- If none, to child or children equally and to descendants of deceased children by representation
- If none, to parents equally or to the surviving parent

Federal Employees Health Benefits

Costs - Premiums

- 2015 premiums averaged a 3.4% increase from 2014 premiums
- 2016 premiums averaged a 7.4% increase from 2015 premiums
- 2017 premiums averaged a 4.4% increase from 2016 premiums
- 2018 premium averaged a 6.1% increase from 2017 premiums
- 8.2 million employees, retirees and their families are covered by FEHB

FEHB

Premium Conversion

While employed, premiums are paid using premium conversion provision – paid with pre-tax dollars. Retirees cannot participate in premium conversion.

FEHB continues into retirement if you:

- Were insured on your retirement date
- Retired on an immediate annuity
- Were enrolled or covered as a family member for the 5 years immediately preceding retirement or since first opportunity to enroll

Open Season

From the 2nd Monday in November to the 2nd Monday in December, you can:

- Enroll in, change or cancel an existing enrollment in a health plan under the FEHB Program.
- Enroll in, change, or cancel an existing enrollment in a dental plan.
- Enroll in, change, or cancel an existing enrollment in a vision plan.
- Enroll in a flexible spending account (health care or dependent care). You must re-enroll each year.

Insider Secrets to Getting the

Most from Your FEHB

1. Before you pick your plan, assess your own health needs.

A. What types of procedures do you need covered by insurance. Evaluate your medical expenses from the previous year and consider upcoming health needs for you and your dependents.

B. What are your health care priorities? Once you know your priorities concerning costs, coverage, and convenience of health care, the field of choices begins to narrow.

C. How much can you afford? Saving money is one thing, but that doesn't necessarily equate to selecting the cheapest plan.

2. Talk to your doctor's office.

A. While you may understand your body best, your doctor can provide key insights into any upcoming procedures or prescriptions.

B. What plans are your providers with? It's more important to select your doctor first and plan second based on your doctor's network.

3. Know your age bracket.

A. Young and single - you may want to consider an inexpensive plan that will at least cover annual exams. An HMO or a HDHP may be a good alternative for you.

B. Couples with kids - your decision will center around pregnancy and child healthcare. Some FEHB plans provide special benefits for pregnancy that include maternity care, before, after and during delivery.

C. Those nearing retirement - as you near age 65, you'll want to give serious consideration to how your FEHB interacts with Medicare.

Insider Secrets to Getting the

Most from Your FEHB

4. Don't let bureaucratic language scare you.

A. Only 9% of FEHB participants change plans in any given year. Plan documents can be daunting and comparing plans can seem next to impossible. Take the time to look into your benefits which can save you money and heartache in the long run.

Demystifying FEHB

- Start your research by determining how each of the four primary factors play into your situation.

1. Coverage **2.** Cost **3.** Choice **4.** Convenience

www.guidetohealthplans.org

NOTES

FEDVIP

Dental and Vision Coverage

Eligibility:

- FEDVIP provides dental and vision benefits to federal and postal employees, retirees, annuitants, and qualifying family members. You must qualify for the FEHB program (you do not have to be enrolled).

- Qualifying family members include spouses and unmarried dependent children under age 22. Coverage may extend to children over age 22 with disabilities.

Plans and Options:

Six national dental plans:

- Aetna
- GEHA
- United Concordia
- FEP Blue
- MetLife
- Delta

Four national vision plans:

- FEP Blue Vision
- United Healthcare Vision Plan
- Vision Service Plan (VSP)
- Aetna Vision

Three options for coverage:

Self Only - Self Plus One - Self and Family

Flexible Spending Account

Getting Started

- FSAFEDS administers the FSA which allows you to set aside a portion of earnings to pay for qualified medical expenses. You are able to save on a wide variety of medical, dental, vision and daycare expenses.

- For 2018, medical contribution limit is $2,650 which is NOT a household maximum.

- For 2018, dependent care contribution limit is $5,000 which IS a household maximum.

NOTES

Flexible Spending Account

Getting Started

Calculating How Much to Save in Your FSA

1. **Look backwards** - look over your healthcare receipts from last year.
2. **Think forward** - look ahead, too. If you know for certain you're having surgery not covered by insurance, take that into account.
3. **Add it up** - put those costs together to get relatively close to how much you will likely spend next year.

Qualified Medical Expenses

for FSA Must Be:

Rendered by a health care professional appropriately licensed or certified in the state in which he or she practices; AND Performed within the scope of the health care professional's license

Qualified Expenses Include:

- Dental treatments
- Prescriptions
- Eye exams, glasses and contacts
- Acne treatments
- Immunizations
- Out-of-pocket expenses
- Over-the-counter drugs (w/Rx)
- Acupuncture
- Chiropractors

www.fsafeds.com/fsafeds/eligibleexpenses.asp

FEHB

Medicare

Federal employees participate in the only group health coverage in the country that allows participants to "opt out" of Medicare Part B at age 65 (if retired). The confusion begins with the decision about whether to elect Part B. Medicare is divided into four parts, and the difference in the parts starts with what they cover.

Medicare Part A

Employees contribute 1.45% of each paycheck to cover the costs of Medicare Part A. At age 65, Medicare Part A is free (it was paid for while you were working).

Part A covers:

Hospitalization (room and board only)
Hospice care
Home care
Hospitalization has a deductible of $1,288 which is often covered by Medicare supplemental insurance.

Medicare Part B

Part B is also known as "original Medicare." It covers medical expenses such as:

Medically necessary services -

Doctor's fees, oxygen,
Ambulance services,
Durable medical equipment

Preventative services -

Flu shots, Early detection testing such as mammograms or prostate cancer screening

However, Medicare excludes some items and services such as:

Long-term care (custodial care)
Most dental care
Eye exams related to prescribing glasses
Dentures
Cosmetic surgery
Acupuncture
Hearing aids and exams for fitting them
Routine foot care

Part B requires a monthly premium which is based on annual income two years' prior to the current year. Premiums range from:

If your yearly income in 2016 (for what you pay in 2018) was			
File individual tax return	File joint tax return	File married & separate tax return	You pay each month (in 2018)
$85,000 or less	$170,000 or less	$85,000 or less	$134
above $85,000 up to $107,000	above $170,000 up to $214,000	Not applicable	$187.50
above $107,000 up to $133,500	above $214,000 up to $267,000	Not applicable	$267.90
above $133,500 up to $160,000	above $267,000 up to $320,000	Not applicable	$348.30
above $160,000	above $320,000	above $85,000	$428.60

FEHB
Medicare

Medicare Part C

Also known as Medicare Advantage, Part C is offered by private companies approved by Medicare. In a Medicare Advantage Plan, you are considered to have Medicare. You still have both Medicare Part A and Part B coverage which is provided by the private Medicare Advantage Plan. There may or may not be an additional premium for Medicare Part C, but you must have both Part A and Part B in order to be eligible for Part C.

Medicare Part D

To get Medicare prescription drug coverage, you must join a plan run by an insurance company or other private company approved by Medicare. Each plan varies in cost and drugs that are covered.

NOTE: All Federal Employee Health Benefit Plans "FEHB" include prescription drug coverage that is Medicare compliant. You do not have to enroll in Part D when eligible, and if you decide later that you want to enroll in Part D, you may do so without incurring a penalty, as long as you enroll during Medicare's annual Open Season.

Enrollment

Part A - enrollment is within a 7-month window of eligible participant's 65th birthday (three months prior to birthday month, month of birthday, three months after birthday month).

Part B - enrollment is within the 7-month window of participant's 65th birthday, if retired. If participant continues working after age 65 in a federal position with FEHB coverage, they have 8 months after retirement to enroll in Part B with no penalty.

General enrollment is from January 1 to March 31 annually. The penalty for enrolling outside of the above timeframes is 10% per year for each year that the participant should have been enrolled, but wasn't.

If your spouse is covered under your FEHB plan and they turn 65 while you are still working, they do NOT have to make the Medicare Part B decision until 8 months after you retire.

Enrollment is online at: www.ssa.gov (that's right - it's not on the Medicare website?!?)

FEHB
Medicare

Pros and Cons to electing Part B for federal employees

Pro:

By paying for Part B along with your FEHB plan (FEHB becomes your supplement), most FEHB coverage waives your co-pays and deductibles giving you fixed expenses for healthcare. You pay the appropriate Medicare Part B premium (based on your income) plus your FEHB premium (there is no reduction to your FEHB premium for enrolling in Medicare), but nothing else comes out of your pocket.

Con:

Medicare becomes the primary payor when you elect Part B along with your FEHB, so you must go to a provider who accepts Medicare. Even if the provider is in your FEHB network, that doesn't guarantee they accept Medicare.

Bottom line:

It boils down to (fixed) cost vs. choice.

Other considerations:

Currently (2018), three FEHB carriers offer incentives to federal employees to enroll in Medicare Part B.

Check out the options for:

Aetna
Blue Cross Blue Shield - Basic
GEHA

FEGLI

Basic coverage – Current salary rounded to the nearest thousand + $2,000
Costs .15/thousand = employee share Federal government picks up 1/3 of premium

Option A - $10,000 Must have Basic coverage to participate. Costs increase from $.30 - $6.00 from age 35 to age 60

Option B – Current salary rounded to the nearest thousand in multiples from 1-5.

- Must have Basic coverage to participate.
- Costs increase dramatically at age 55 and beyond

Option C – For spouse and minor children

Spouse = $5,000 in multiples of 1-5
Children = $2,500 in multiples of 1-5
Children covered until age 22 unless disabled
Costs increase from $.59 to $5.85 from age 35 to age 60

- In retirement – you choose how much of the benefits to keep.

- At retirement, most federal employees choose to keep their Basic coverage and Option A with a 75% reduction and eliminate their other coverages. This reduces or eliminates the cost at age 65.

To compare coverage and premiums:
www.opm.gov/calculator/worksheet.asp

FLTCIP 2.0

Group Long-term Care Insurance

Original coverage was established in 2002 as a partnership between John Hancock and MetLife – managed by LTC Partners. John Hancock awarded next 7-year contract beginning October 1, 2009 – still managed by LTC Partners. In 2016, John Hancock was again awarded next 7-year contract.

- Available for current federal employees, their spouses/same-sex partners
- Access to limited underwriting during Open Season

You make four choices in creating your coverage:

How much? $50 - $450/day

How long? 2 years, 3 years, 5 years or lifetime

Inflation? 4% compound, 5% compound or future purchase

Elimination Period? 90 days

FLTCIP 2.0

Group Long-term Care Insurance

All tax-qualified plans:

- Pay non-taxable benefits directly to you
- Start payments when you cannot perform 2 out of 6 activities of daily living (certified by your physician) or cognitive impairment
- Provide for the deductibility of premium payments under certain conditions

To calculate premiums or apply for coverage:

www.ltcfeds.com

Taxes While Working

- Your current W-4 dictates withholding from your salary
- Contributions to Thrift Savings Plan reduce taxable income
- Unused annual leave is paid in a lump sum and taxed at the higher lump sum rates (currently ~33% + 6.2% FICA + 1.45% Medicare + _____% for state!)

FERS

Taxable Income

- All monies received from the federal government under your FERS benefit plan are taxable as "ordinary income" instead of "earned income," which means that no Social Security taxes and no Medicare taxes are withheld.
- A very small portion of the benefit payment is non-taxable as a return of the small .8% contribution that you made through payroll deduction, since that was an "after-tax" deduction. OPM will compute this for you and it will appear on your 1099R. (Calculated as 1/360th of your contributions or ~.2778%.

Taxes In Retirement

- At retirement, you will complete a new W-4P for withholding from your federal annuity
- You will elect your state withholding online after your retirement claim has been finalized
- Unused annual leave is paid in a lump sum and withheld at the higher lump sum rates

NOTES

The Magic Eligibility Anniversary

Once you become eligible to retire, there aren't a lot of major changes to be made. It's all about planning for the date and making sure all of the pieces are in place for a successful retirement. By this time, you may have paid off your home, put your children through college and be thinking more about where to retire than how.

Here are some things to look at during the final phase of your federal career:

- Understand the impact your Thrift Savings Plan will have on your retirement income. You are only allowed two withdrawals from the TSP, so you'll want to have a strategy for exactly how and when you'll withdraw funds from the TSP.

- Consider meeting with a financial adviser to have estimates run for your pension to compare with the estimate you receive from human resources. The human resources estimate will be used by OPM to calculate your interim pension amount until your retirement claim is adjudicated.

- Review your beneficiary designation forms. These include life insurance, TSP, and FERS retirement.

- Analyze your options for survivor benefits if you are married. In order to maintain federal employees health benefits if you pass away, your spouse must be covered by at least a minimum survivor benefit AND be covered by your FEHB when you die.

- Consider your need for health insurance in retirement. You will have the opportunity to change plans each Open Season, but if you're married, you want to be sure you've covered your spouse to ensure access to FEHB in case of your death.

The Magic Eligibility
Anniversary

-If you owe a re-deposit for refunds withdrawn from the retirement system that has not been repaid, expect a delay in the finalization of your retirement claim. OPM will offer you the opportunity to repay these funds before adjudicating your claim.

-If you have prior military service, make sure you have paid the deposit to allow you to count those years.

-Determine how much of your FEGLI you need to keep in retirement. By this time, you may have less need for ongoing life insurance coverage. While you do not want to pay for more coverage than you need, you want to be sure you protect your family.

-Consider changing the number of exemptions for withholding prior to your last paycheck to avoid over-withholding from your lump-sum annual leave payment.

NOTES

What You'll Need To Have

Your Benefits Calculated

- Leave and earnings statement
- Social Security statement
- Recent TSP statement
- Statements for other investments (brokerage accounts CDS, IRAS, Roth IRAs)
- Life insurance other than FEGLI

NOTES

Ann Vanderslice

RETIREMENT PLANNING STRATEGIES

Federal Benefits Made Simple

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